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Case Name: *Good Samaritan Hospital, L.P. et al. v. Kaiser Foundation Health Plan, Inc.*
Case No.: 23CV427314

I. Introduction

Plaintiffs Good Samaritan Hospital, L.P.; San Jose Healthcare System, L.P.; Los Robles Regional Medical Center; Riverside Healthcare System, L.P.; and West Hills Hospital (the “Hospitals”) sued defendant Kaiser Foundation Health Plan, Inc. (“Kaiser”) on December 5, 2023.

Between June 29 and August 3, 2026, in connection with the Hospitals’ motion for summary adjudication as to certain of Kaiser’s affirmative defenses (the “MSA”) and the parties’ respective motions in limine (the “MILs”), the parties filed fourteen motions and applications to seal (the “Sealing Requests”). The parties have since agreed to resolve this matter, and the trial date has been vacated. The Sealing Requests appear to be the last law and motion matters remaining before the Court.

Having reviewed the Sealing Requests, the declarations supporting each, the stipulated protective order entered March 7, 2024 (the “Protective Order”), and the materials lodged conditionally under seal, the Court GRANTS the Sealing Requests in substantial part, CONDITIONALLY GRANTS them in part, and DEFERS ruling in two limited respects.

II. The Sealing Requests

No.	Filed	Short form	Materials	Supporting declaration
1	6/29/26	Hospitals’ MIL Application	Materials filed with the Hospitals’ MILs 1–10	Barnhart
2	6/29/26	Kaiser’s MIL Motion	Kaiser’s MILs 1, 2, 6 and supporting exhibits	Reiter
3	7/6/26	Kaiser’s MSA and MIL Motion	Portions of the Hospitals’ MSA and MILs 1–10 and supporting exhibits	Reiter
4	7/9/26	Hospitals’ Kaiser-MIL Application	Materials lodged by Kaiser with Kaiser’s MILs 1–6	Barnhart

No.	Filed	Short form	Materials	Supporting declaration
5	7/13/26	Kaiser's MSA Opposition Motion	Portions of Kaiser's MSA opposition and separate statement	Reiter
6	7/15/26	Hospitals' MIL Opposition Application	Materials filed with the Hospitals' oppositions to Kaiser's MILs 1–6	Barnhart
7	7/15/26	Kaiser's MIL Opposition Motion	Portions of Kaiser's MIL oppositions and supporting exhibits	Reiter
8	7/22/26	Hospitals' MSA Reply Application	Portions of the Hospitals' MSA reply, responses to separate statement, and evidentiary objections	Barnhart
9	7/23/26	Hospitals' Kaiser-MSA-Opposition Application	Materials filed by Kaiser with Kaiser's MSA opposition	Barnhart
10	7/24/26	Kaiser's Omnibus Motion	Materials filed with the Hospitals' MSA reply and MIL oppositions, and with Kaiser's MIL replies	Reiter
11	7/24/26	Hospitals' MIL Reply Application	Materials filed with the Hospitals' replies ISO MILs 1–10	Barnhart
12	7/27/26	Hospitals' Kaiser-MIL-Opposition Application	Materials lodged by Kaiser with Kaiser's oppositions to the Hospitals' MILs 1–10	Barnhart
13	8/3/26	Hospitals' Kaiser-MIL-Reply Application	Materials lodged by Kaiser with Kaiser's replies ISO MILs 1–6	Barnhart
14	8/3/26	Kaiser's MIL Reply Motion	Portions of the Hospitals' replies ISO MILs 8 and 9	Reiter

The Court refers to the supporting declarations of Lindsey Barnhart collectively as the “Barnhart Sealing Declarations” and to those of Joseph A. Reiter as the “Reiter Sealing Declarations.”

A. Declarations to Which Exhibits are Attached

The materials at issue are exhibits to declarations filed with the merits briefing, not to the Sealing Requests. Exhibit numbers repeat across those declarations, so each is cited by the short form below.

Short form	Filed	Exhibits
Barnhart MSA Decl.	6/24/26	Exs. 1–5+
Barnhart MIL Decl.	6/29/26	Exs. 1–44
First Reiter Omnibus Decl.	6/29/26	Exs. 1–76
Reiter MSA Opp. Decl.	7/13/26	Exs. 1–35
Barnhart MIL Opp. Decl.	7/15/26	Exs. 1–21
Second Reiter Omnibus Decl.	7/15/26	Exs. 80–143
Barnhart MIL Reply Decl.	7/24/26	Exs. 1–5
Third Reiter Omnibus Decl.	7/24/26	Exs. 146–149

B. The Hospitals’ Response

On July 28, 2026 the Hospitals filed a response addressing Sealing Requests Nos. 2, 3, and 10 (the “Hospitals’ Response”). Kaiser filed no reply. That response is the only opposition of any kind in the record; the remaining eleven Sealing Requests are unopposed.

III. The Protective Order

The Protective Order permits any party or non-party to designate discovery material “Confidential” or, for extremely sensitive non-public business or financial information, “Highly Confidential – Attorneys’ Eyes Only” (together, “Protected Material”). (Protective Order, ¶¶ 1–3.) Its preamble recites that the parties intended it to function as a qualified protective order under 45 Code of Federal Regulations part 164.512(e)(1)(v), governing protected health information under the Health Insurance Portability and Accountability Act of 1996 (“HIPAA”) and the California Confidentiality of Medical Information Act (“CMIA”).

Part Two governs use of Protected Material in court. Paragraph 19 requires a party filing its own designated material and seeking sealing to move under California Rules of Court, rule 2.551. Paragraph 20 addresses the converse (i.e., a party filing material designated by someone else) and permits that party either to give ten business days’ advance notice or to lodge under rule 2.551(d) while filing redacted public versions, in which case any affected party may move to seal within ten business days after the lodging.

Paragraph 20 explains the posture here. Most Sealing Requests are brought by the party that did not file the material: Kaiser moves to seal exhibits the Hospitals submitted, and the Hospitals move to seal exhibits Kaiser lodged. Eleven of the fourteen sealing are unopposed because the only party positioned to oppose is the one that made the filing and has no confidentiality interest of its own in the material.

Two further provisions bear on the analysis. Paragraph 21 provides that a sealing declaration under rule 2.551(b)(1) “shall contain sufficient particularity with respect to the particular Protected Material and the basis for sealing to enable the Court to make the findings required by California Rule of Court 2.550(d) without being required to review each item of Protected Material.” Paragraph 22 confirms the limits of the parties’ agreement: the Protective Order “creates no right to file Protected Material under seal without complying with California Rules of Court, Rules 2.550 et seq.”

IV. Legal Standard

Unless confidentiality is required by law, court records are presumed open. (Cal. Rules of Court, rule 2.550(c).) A record may be filed under seal only if the court expressly finds: (1) an overriding interest exists that overcomes the right of public access; (2) the overriding interest supports sealing; (3) a substantial probability exists that the overriding interest will be prejudiced absent sealing; (4) the proposed sealing is narrowly tailored; and (5) no less restrictive means exist. (Rule 2.550(d); *NBC Subsidiary (KNBC-TV), Inc. v. Superior Court* (1999) 20 Cal.4th 1178, 1217–1218 (*NBC Subsidiary*).) A sealing order must state the facts supporting the findings and must reach only those documents and pages (or, if reasonably practical, portions of them) containing material that must be sealed. (Rule 2.550(e)(1)(A)–(B).) The motion must be supported by a declaration containing facts sufficient to justify sealing (rule 2.551(b)(1)), and the court may not seal a record based solely on the parties’ agreement (rule 2.551(a)).

The right of access exists so the public may monitor the exercise of judicial power. It is strongest as to records furnishing the basis for adjudication of substantive rights, and weaker as to records that do not. (*NBC Subsidiary, supra*, 20 Cal.4th at pp. 1208–1212; *Overstock.com*,

Inc. v. Goldman Sachs Group, Inc. (2014) 231 Cal.App.4th 471, 486–488.) Here, the MSA and MILs were never decided. The parties settled, and no right will be adjudicated on the basis of these materials. The public interest in access, while real, is materially weaker than it would be had the Court ruled on their basis. That informs the balance struck below but relieves the movants of no element of rule 2.550(d), and the Court has not treated it as doing so.

Preservation of trade secrets and confidential commercial information is a recognized overriding interest. (*NBC Subsidiary, supra*, 20 Cal.4th at p. 1222, fn. 46; *In re Providian Credit Card Cases* (2002) 96 Cal.App.4th 292, 298–301 (*In re Providian*); *Universal City Studios, Inc. v. Superior Court* (2003) 110 Cal.App.4th 1273, 1283–1286 (*Universal City Studios*).) So is the privacy of non-party patients in their medical information. (Cal. Const., Art. I, § 1.) A record already accessible to the public, however, cannot be sealed. (Rule 2.550(d)(1); *Hurvitz v. Hoefflin* (2000) 84 Cal.App.4th 1232, 1245 (*Hurvitz*).)

V. Categories of Material

“Contract Material”: executed agreements between Kaiser or Kaiser Foundation Hospitals, Inc. and the Hospitals or other third-party hospitals; rate exhibits and fee schedules to those agreements; claims-level billing, payment, and patient-liability data; settlement agreements between the parties; and quotations from or summaries of the foregoing.

“Strategy Material”: internal analyses, correspondence, presentations, and testimony reflecting either party’s approach to negotiating contracts and reimbursement with the other or with third parties.

“Patient Material”: medical records of Kaiser members and other non-party patients, provider payment dispute resolution requests identifying individual patients, and the discrete portions of expert reports and deposition testimony discussing individual patient encounters.

“Methodology Material”: documents and testimony describing Kaiser’s proprietary methodology for determining “reasonable and customary” reimbursement rates payable to non-contracted facilities.

“Excerpted Testimony”: the excerpted deposition transcripts and excerpted expert reports lodged as exhibits, which contain Contract, Strategy, Patient, or Methodology Material.

“Brief Portions”: the identified lines, footnotes, and highlighted passages of the parties’ briefs, separate statements, responses to separate statements, and evidentiary objections that quote from, summarize, or otherwise disclose the foregoing.

VI. Findings

A. The Supporting Declarations Satisfy Rule 2.551(b)(1)

The Barnhart and Reiter Sealing Declarations describe the material by category rather than document by document. The Court concludes that showing suffices, for three reasons.

First, the parties stipulated to this approach and the Court approved it. Paragraph 21 of the Protective Order expressly contemplates a declaration particular enough as to categories of Protected Material to permit the rule 2.550(d) findings “without being required to review each item.” A stipulation cannot relieve the Court of its independent obligation under rule 2.551(a), and the Court does not treat paragraph 21 as doing so because paragraph 22 forecloses that reading. But paragraph 21 reflects a considered, court-approved judgment about the particularity appropriate to litigation of this scale, and the declarations conform to it.

Second, the categories are discriminating rather than undifferentiated. The movants assert no blanket claim over everything designated under the Protective Order. They identify four distinct classes of information and match each exhibit and designated passage to the class or classes into which it falls. The character of each class supplies the substance a document-by-document declaration would otherwise provide.

Third, the Court has examined the materials lodged conditionally under seal and finds the categorical descriptions accurate.

B. Overriding Interests Exist

Overriding interests exist as to each category, as set forth below.

1. Contract Material

The agreements, rate exhibits, and claims-level payment data reflect specifically negotiated pricing whose commercial value depends on its confidentiality. Disclosure would inform every counterparty in future negotiations with either party and impair the ability of both to compete. Several agreements contain express nondisclosure provisions, supporting the conclusion that the parties have taken reasonable steps to preserve secrecy. (See *Universal City Studios, supra*, 110 Cal.App.4th at pp. 1285–1286.) The Court finds an overriding interest, that it supports sealing, and that a substantial probability exists it would be prejudiced by public disclosure.

2. Strategy Material

Internal deliberations about how to approach negotiation and reimbursement disputes are confidential business information of the same character and warrant the same treatment, for the same reasons.

3. Methodology Material

Kaiser’s reasonable-and-customary methodology derives independent economic value from not being generally known to persons who could obtain value from its disclosure, and is the subject of efforts reasonable under the circumstances to maintain secrecy. (Civ. Code, § 3426.1, subd. (d).) The Reiter Sealing Declarations further state that Kaiser files the methodology with the Department of Managed Health Care and has been advised the agency will treat it as confidential. The Court finds an overriding interest.

4. Patient Material

Non-party patients have a constitutionally protected privacy interest in their medical information, reinforced by HIPAA and the CMIA. The parties structured the Protective Order as a qualified protective order for that reason. The patients are not before the Court and cannot protect their own interests. The overriding interest is manifest and the probability of prejudice from disclosure self-evident.

C. The Sealing is Narrowly Tailored and No Less Restrictive Means Exist

Rule 2.550(e)(1)(B) requires that sealing extend only to those documents, pages, or if reasonably practical, portions of pages containing material requiring protection.

The Brief Portions are tailored on their face. The movants identify specific pages, lines, footnotes, and highlighted passages, leaving the remainder of each document in the public file. Kaiser's MSA Opposition Motion, for instance, designates individual lines ("Page 2, Lines 19, 24–26; Page 3, Line 3 ...") rather than the document; the Hospitals' Kaiser-MIL Application designates ranges as narrow as a single line. The Court finds these requests narrowly tailored and finds no less restrictive means available.

As to the Excerpted Testimony, the parties lodged not complete transcripts or reports but the excerpted pages on which they relied, and in several instances designated particular page-and-line ranges within those excerpts, as with First Reiter Omnibus Decl. Ex. 3, for which the Hospitals seek sealing only of 115:8–116:5 and 119:17–23. The narrowing rule 2.550(e)(1)(B) contemplates has already occurred at the point of submission. Further redaction would not meaningfully reduce the volume of sealed material and is not reasonably practical.

As to the Contract Material, the Court has considered whether the agreements might be sealed in part, leaving boilerplate and signature pages public. Because the rate exhibits and payment schedules constitute the substance of these documents, because the confidentiality provisions are themselves among the terms at issue, and because the agreements have not been offered as the basis for any adjudication, the Court finds partial sealing not reasonably practical and no less restrictive means available.

A residual group of exhibits is sought to be sealed in full without excerpting and without a description sufficient to permit the required findings. Those are addressed in section VII.B.

VII. Rulings

A. Granted

The Sealing Requests are GRANTED as to the following, which shall be filed under seal.

Category	Materials	Requests
Patient Material	First Reiter Omnibus Decl. Exs. 70–74; Second Reiter Omnibus Decl. Exs. 139, 140; Barnhart MIL Decl. Ex. 20, Ex. 40 (¶¶ 18, 20 & Ex. 2), Ex. 41 (pp. 112–113)	1, 2, 3, 4, 7, 12
Contract Material	Barnhart MSA Decl. Ex. 4 (p. 9), Ex. 5 (designated columns); Barnhart MIL Decl. Exs. 2, 20–27, 29, 42–44; First Reiter Omnibus Decl. Exs. 67, 71–76; Reiter MSA Opp. Decl. Exs. 8, 11–16, 19, 25, 27–33, 35; Second Reiter Omnibus Decl. Exs. 83, 95, 100–102, 104, 105; Barnhart MIL Opp. Decl. Exs. 4, 5, 12, 15, 17	2, 3, 5, 7, 10
Strategy Material	First Reiter Omnibus Decl. Exs. 18, 19, 29, 75; Barnhart MIL Decl. Exs. 8, 11, 35, 36; Barnhart MIL Opp. Decl. Exs. 12, 13, 14, 16; Second Reiter Omnibus Decl. Exs. 84, 90, 94, 103, 106, 111–113, 117, 132, 143	1, 4, 6, 7, 10, 12
Methodology Material	Second Reiter Omnibus Decl. Exs. 119, 121, 123, 126, 129, 130, 133, 135–137, 141; Reiter MSA Opp. Decl. Exs. 1, 19, 33; Barnhart MSA Decl. Ex. 3 (pp. 8–9), Ex. 4 (pp. 5–8); Barnhart MIL Decl. Ex. 5 (pp. 8–9), Ex. 31	3, 5, 7, 10
Excerpted Testimony	First Reiter Omnibus Decl. Ex. 3 (115:8–116:5; 119:17–23), Exs. 5, 53–55, 58, 62, 64–66, 68; Barnhart MIL Decl. Exs. 1, 6, 7, 33, 38, 39, 41, 43; Barnhart MIL Opp. Decl. Exs. 4, 13, 18, 21; Barnhart MIL Reply Decl. Exs. 1, 3, 4, 5; Second Reiter Omnibus Decl. Exs. 80, 82, 92, 93, 96, 99, 107, 110, 115, 118; Third Reiter Omnibus Decl. Exs. 146–149	1, 4, 6, 11, 12, 13
Brief Portions	All page-, line-, and highlight-designated portions of the MILs, MIL oppositions, MIL replies, MSA, MSA opposition, MSA reply, separate statements, responses to separate statements, and evidentiary objections identified in Sealing Requests Nos. 1, 3, 4, 5, 6, 7, 8, 10, 11, 12, 13, and 14; Barnhart MIL Decl. ¶ 44	1, 3–8, 10–14

As to each item, the Court finds: an overriding interest exists as described in section VI.B; the overriding interest supports sealing; a substantial probability exists that it would be prejudiced were the record not sealed; the sealing is narrowly tailored; and no less restrictive means exist.

B. Conditionally granted

The following are CONDITIONALLY GRANTED. The materials shall remain under seal, and sealing shall become final without further order upon the filing described. Absent a timely filing, the Court will set the matter for further hearing before ruling.

1. Exhibits Described Only as “Undated Internal Hospitals Document”

Second Reiter Omnibus Decl. Exs. 81, 108, 114, and 116 are identified in Sealing Request No. 12 solely by that phrase, and the Court cannot state facts supporting the required findings on that description alone. Within 15 days the Hospitals shall file a supplemental declaration identifying the nature, approximate date, and subject matter of each exhibit and the category into which it falls.

2. Complete Expert Reports

Barnhart MIL Decl. Exs. 1, 31, 42, and 44, and First Reiter Omnibus Decl. Exs. 26, 31, and 63, appear to be complete or substantially complete expert reports rather than excerpts. Within 15 days the proponent of sealing shall either (a) lodge proposed redacted public versions, or (b) file a declaration stating that redaction is not reasonably practical because the confidential material is distributed throughout the report, in which event the exhibits shall be sealed in their entirety.

3. Exhibits Lodged Without any Sealing Request

Barnhart MIL Opp. Decl. Exs. 9, 10, and 11 were lodged conditionally under seal on July 15, 2026 with notice that the Hospitals would not move to seal them and that Kaiser had ten days to do so. Kaiser’s Omnibus Motion is timely but reaches Exs. 1–7 and 12–17 of that declaration, omitting Exs. 9, 10, and 11. Under rule 2.551(b)(3)(B) those exhibits would ordinarily be transferred to the public file. Because Kaiser moved to seal the exhibits on either side of them in the same series, the omission appears inadvertent. Kaiser may file a request as

to these three exhibits within 15 days; absent such a filing they shall be transferred to the public file.

4. *The Lodging Notices*

Kaiser’s notices of lodging filed June 29 and July 24, 2026 each list certain items both as documents Kaiser “has moved to seal” and as documents Kaiser “does not intend to seal”: in the June 29 notice, Kaiser’s MILs 1, 2, and 6 and a substantial number of First Reiter Omnibus Decl. exhibits; in the July 24 notice, Kaiser’s replies ISO MILs 1, 2, and 5 and Third Reiter Omnibus Decl. Exs. 147 and 148. The Court treats Sealing Requests Nos. 2 and 10 as the operative statements of the relief Kaiser seeks and resolves the discrepancy accordingly. Kaiser shall file a corrected notice within 15 days confirming this understanding.

C. **Deferred: Material Asserted to be in the Public Domain**

The Hospitals’ Response represents that fourteen exhibits Kaiser moves to seal were admitted as trial exhibits in *Los Robles Regional Medical Center et al. v. Kaiser Foundation Health Plan, Inc., et al.* (Alameda Super. Ct.) No. RG17880285 (“*Kaiser I*”):

Exhibit	<i>Kaiser I</i> trial exhibit
First Reiter Omnibus Decl. Exs. 33, 41, 47	PTX-001, PTX-034, PTX-835
Barnhart MIL Decl. Exs. 12, 13, 14, 16, 17, 18	PTX-003, PTX-001, PTX-017, PTX-010, PTX-009, PTX-016
Barnhart MIL Opp. Decl. Exs. 1, 2, 3, 6, 7	PTX-016, PTX-009, PTX-017, PTX-003, PTX-010

A record cannot be sealed if public access already exists. (Rule 2.550(d)(1); *Hurvitz, supra*, 84 Cal.App.4th at p. 1245.) The Protective Order reflects the same principle: “a document may lose its protected status if it is made public.” (Protective Order, ¶ 12.) Kaiser’s own papers acknowledge, quoting *In re Providian, supra*, 96 Cal.App.4th at page 304, that public disclosure “is fatal to the existence of a trade secret.”

While Kaiser has not responded, the Court is nonetheless reluctant to order these exhibits into the public file on the present showing. The Hospitals' representation is made by an officer of the court but is unsupported by declaration, by the *Kaiser I* exhibit list, or by other documentation. And admission of an exhibit at trial does not invariably place it in the public domain, since an exhibit may be admitted subject to a sealing order. Second Reiter Omnibus Decl. Ex. 91 (which the Hospitals themselves ask the Court to seal) is the *Kaiser I* court's July 21, 2022 orders on in limine motions, bearing the legend "(Unredacted – To Be Filed Under Seal)," indicating at least some portion of the *Kaiser I* record was sealed.

Accordingly, the Court DEFERS its ruling. Within 15 days Kaiser may file a declaration establishing that these exhibits were admitted under seal in *Kaiser I* or otherwise remain non-public, and the Hospitals may lodge documentary support for their representation. If Kaiser makes the showing, Sealing Requests Nos. 2, 3, and 10 will be granted as to these exhibits; if not, they will be denied as to these exhibits and the exhibits placed in the public file.

As to Barnhart MSA Decl. Ex. 5, the stipulation and arbitration agreement re arbitration of denied medical claims and Exhibit A thereto, Sealing Request No. 3 is DENIED AS MOOT: as the Hospitals' Response reflects, the parties jointly filed that document on July 6, 2026 with the columns at issue unsealed, and the Court so ordered on July 9, 2026.

D. Deferred: the *Kaiser I* in Limine Orders

By Sealing Request No. 12 the Hospitals seek to seal Second Reiter Omnibus Decl. Ex. 91, the *Kaiser I* in limine orders described above, which Kaiser lodged but did not move to seal. The exhibit is a record of a coordinate court whose sealing status that court has already determined, and the question is intertwined with the submissions ordered in section VII.C. Ruling is DEFERRED on the same schedule; the exhibit shall remain under seal in the interim.

VIII. Conclusion

1. Sealing Requests Nos. 1 through 14 are GRANTED as to the materials identified in section VII.A. The Clerk is directed to file those materials under seal.

2. Sealing Requests Nos. 2, 6, 10, and 12 are CONDITIONALLY GRANTED as to the materials identified in section VII.B, which shall remain under seal pending the filings described there.
3. Ruling on Sealing Requests Nos. 2, 3, 10, and 12 is DEFERRED as to the materials identified in sections VII.C and VII.D, which shall remain under seal in the interim.
4. Sealing Request No. 3 is DENIED AS MOOT as to Barnhart MSA Decl. Ex. 5.
5. All filings directed by sections VII.B, VII.C, and VII.D shall be made no later than 15 days from the date of this order. Any response shall be filed within 7 days thereafter.
6. Notwithstanding rule 2.551(b)(6), no record lodged conditionally under seal in connection with any Sealing Request shall be returned to the submitting party, deleted, or transferred to the public file except upon further order of this Court.
7. This order does not alter the parties' obligations under the Protective Order, which by its terms continues in effect after conclusion of the action. (Protective Order, ¶ 15.)
8. The Court makes no findings under rule 2.550 as to any record not identified above.
9. The Court retains jurisdiction to enforce and to modify this order following entry of judgment.

The Court will prepare the order.

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Calendar Line 21

Case Name: Essex Portfolio, L.P. v. F.D. Thomas, Inc., et al.
Case Nos.: 24CV428938

The above-entitled action comes on for hearing before the Honorable Theodore C. Zayner on August 19, 2026, at 1:30 p.m. in Department 19. The Court now issues its tentative ruling as follows:

I. Introduction

This is a construction defect involving multiple defendants. Defendant DeSilva Gates Construction, LLC (“DeSilva”) moves for an order determining a good faith settlement with plaintiff Essex Portfolio, L.P. (“Plaintiff”).² Defendant F.D. Thomas, Inc. (“Thomas”) opposes DeSilva’s motion and DeSilva has filed a reply.

DeSilva was the rough grading contractor during the construction project, an apartment complex in San Jose, California, currently known as the Enso Apartments and previously known as the Baypointe Apartments, located at 175 Baypointe Parkway, San Jose, California 95134.³ The primary injury asserted by Plaintiff is the intrusion of water through the exterior envelope into an underground parking structure.

Plaintiff filed its initial complaint on January 8, 2024. It filed an amended complaint on May 13, 2024, asserting causes of action against DeSilva and others for (1) breach of contract, (2) breach of express warranty, (3) breach of implied warranty, and (4) negligence. On April 8, 2025, Plaintiff filed a request for dismissal, without prejudice, against DeSilva and the clerk entered the dismissal on that same date.⁴

² The Court grants DeSilva’s request for judicial notice of Plaintiff’s original complaint, filed January 8, 2024; DeSilva’s answer, filed February 20, 2024; Plaintiff’s first amended complaint, filed May 13, 2024; and DeSilva’s answer to Plaintiff’s first amended complaint, filed May 21, 2024. (See Evid. Code, § 452, subd. (d).)

³ Due to the nature of the instant motion, the Court finds a full statement of facts and procedural history unnecessary.

⁴ The Court grants DeSilva’s request for judicial notice of the request for dismissal. (See Evid. Code, § 452, subd. (d).)

On May 6, 2025, Silverline Construction, Inc. (“Silverline”) filed a cross-complaint asserting causes of action against DeSilva and others for (1) equitable indemnity, (2) contribution, and (3) declaratory relief. Silverline has not opposed the motion for good faith settlement.⁵

II. Legal Standard

“Where a release, dismissal with or without prejudice, or a covenant not to sue or not to enforce judgment is given in good faith before verdict or judgment to one or more of a number of tortfeasors claimed to be liable for the same tort, or to one or more other co-obligors mutually subject to contribution rights, it shall have the following effect: It shall not discharge any other such party from liability unless its terms so provide, but it shall reduce the claims against the others in the amount stipulated by the release, the dismissal or the covenant, or in the amount of the consideration paid for it, whichever is the greater.” (Code Civ. Proc., § 877, subd. (a).) “It shall discharge the party to whom it is given from all liability for any contribution to any other parties.” (Code Civ. Proc., § 877, subd. (b).)

A settling party may apply for a determination of good faith settlement. (Code Civ. Proc., § 877.6, subd. (a)(2).) A nonsettling party may object. (*Ibid.*) “A determination by the court that the settlement was made in good faith shall bar any other joint tortfeasor or co-obligor from any further claims against the settling tortfeasor or co-obligor for equitable comparative contribution, or partial or comparative indemnity, based on comparative negligence or comparative fault.” (*Id.*, subd. (c).) Courts consider several factors when determining whether a settlement is entered in good faith: a rough approximation of plaintiff’s total recovery; the settling defendant’s proportionate liability; the amount paid in settlement; the allocation of settlement proceeds among plaintiffs; the recognition that a settling defendant should pay less in settlement than it would if found liable after a trial; the financial conditions and insurance policy limits of settling defendants; and the existence of collusion, fraud, or tortious conduct aimed to injure the interests of nonsettling defendants. (*Tech-Bilt, Inc. v. Woodward-Clyde & Associates* (1985) 38 Cal.3d 488, 499 (*Tech-Bilt*)). A defendant’s

⁵ DeSilva’s proof of service filed with the motion as well as a later amended proof of service show service on Silverline.

settlement must not be “ ‘grossly disproportionate to what a reasonable person, at the time of the settlement, would estimate the settling defendant’s liability to be.’ ” (*Ibid.*) The party asserting lack of good faith has the burden of proof. (Code Civ. Proc., § 877.6, subd. (d).) A settlement will be denied when it is “so far ‘out of the ballpark’ in relation to these factors as to be inconsistent with the equitable objectives of the statute.” (*Tech-Bilt*, *supra*, 38 Cal.3d at p. 500.)

Regarding the relative burdens of the parties, one appellate court has explained:

This court notes that of the hundreds of motions for good faith determination presented for trial court approval each year, the overwhelming majority are unopposed and granted summarily by the trial court. At the time of filing in many cases, the moving party does not know if a contest will develop. If each motion required a full recital by declaration or affidavit setting forth a complete factual response to all of the *Tech-Bilt* factors, literally thousands of attorney hours would be consumed and inch-thick motions would have to be read and considered by trial courts in an exercise which would waste valuable judicial and legal time and clients’ resources. It must also be remembered that *Tech-Bilt* was decided on a contested basis. We are unaware of any reported decision which has reversed an *uncontested* good faith determination and we, therefore, conclude that only when the good faith nature of a settlement is disputed, it is incumbent upon the trial court to consider and weigh the *Tech-Bilt* factors. That is to say, when no one objects, the barebones motion which sets forth the ground of good faith, accompanied by a declaration which sets forth a brief background of the case is sufficient.

If the good faith settlement is contested, section 877.6, subdivision (d), sets forth a workable ground rule for the hearing by placing the burden of proving the lack of good faith on the contesting party. Once there is a showing made by the settlor of the settlement, the burden of proof on the issue of good faith shifts to the nonsettlor who asserts that the settlement was not made in good faith. [Citations.] If contested, declarations by the nonsettlor should be filed which in many cases could require the moving party to file responsive counterdeclarations to negate the lack of good faith asserted by the nonsettling contesting party.

(*City of Grand Terrace v. Superior Court* (1987) 192 Cal.App.3d 1251, 1261-1262 [concluding that moving party’s motion supported only by declaration mentioning relevant insurance policy exclusion in general terms, “the existence of the declaratory relief action, and that \$ 60,000 was paid by USAA to settle all claims of plaintiff against settlor, after which the declaratory relief action was dismissed” was sufficient because “a prima facie showing of a good faith settlement was set forth by settler”].)

“At a minimum, a party seeking confirmation of a settlement must explain to the court and to all other parties: who has settled with whom, the dollar amount of each settlement, if any settlement is allocated, how it is allocated between issues and/or parties, what nonmonetary consideration has been included, and how the parties to the settlement value the nonmonetary consideration.” (*Alcal Roofing & Insulation v. Superior Court* (1992) 8 Cal.App.4th 1121, 1129.) Thereafter, “[t]he party asserting the lack of good faith shall have the burden of proof on that issue.” (Code Civ. Proc., § 877.6, subd. (d).)

“Obtaining a determination that a settlement is in bad faith is a nullity under the statute, or, put simply, has the same effect as making no motion at all--the settlement does not act as a bar to further contribution and the nonsettling defendants can continue to pursue the settling defendant for a greater share of the damages.” (*Bailey v. Reliance Insurance Co.* (2000) 79 Cal.App.4th 449, 457-458.)

III. DeSilva’s Prior Application for Good Faith Settlement

DeSilva previously filed an application for good faith settlement, which Thomas opposed via a motion for order denying DeSilva’s application. After a hearing on February 24, 2026, the Court (Hon. Jeffrey B. El-Hajj) denied the motion without prejudice via written order, finding that DeSilva had provided insufficient information about the terms of the settlement and the basis therefore.

IV. Merits of the Instant Motion

DeSilva maintains that as the rough grading contractor for the project, its “scope of work was to rough grade the original site prior to construction, excavate and off-haul soil for construction of the garage, backfill with pea gravel, along the garage wall along Baypointe Parkway after construction of that wall, and backfill with imported soil along the remaining three garage walls after those walls were completed.” (Declaration of Heather N. Ingle-Gernhardt in Support of Motion for Determination of Good Faith Settlement (“Ingle-Gernhardt Decl.”), ¶ 7.)

After significant investigation involving destructive testing of the premises, Plaintiff determined that the investigation revealed no damage caused by DeSilva and it had no basis to assert liability against DeSilva. (Ingle-Gernhardt Decl., ¶¶ 8-9.) Accordingly, Plaintiff

approached DeSilva offering to dismiss the first amended complaint against it, without prejudice, in exchange for a waiver of DeSilva's right to seek fees and costs. (*Id.* at ¶ 9.) DeSilva accepted that offer and Plaintiff dismissed the First Amended Complaint as to DeSilva without prejudice. (*Id.* at ¶¶ 11-12.) DeSilva contends that, "[f]rom February 6, 2024, through April 8, 2025, DeSilva incurred \$42,178.28 in attorney fees, \$7,023.39 in expert expenses (Lombard Consulting), and \$529.00 in vendor expenses (Nationwide), totaling \$49,730.67." (*Id.* at ¶ 10.) Thus, it asserts that its waiver of fees and costs has the value of \$49,730.67. (See *Armstrong World Indus. v. Superior Court* (1989) 215 Cal.App.3d 951, 954 (*Armstrong*) ["a waiver of litigation costs by a settling defendant effects a reduction in the liability of nonsettling defendants in the same manner as though the settlement involved payment of the equivalent amount to plaintiff in cash."].)

Thomas opposes the motion, arguing that the settlement, which provides for no cash payment, is outside the ballpark of DeSilva's actual liability. It relies on the declaration of its expert, Peter Oliver Patterson ("Patterson"), a licensed contractor and construction expert, who has been involved in construction projects in various capacities since 1975. (See Declaration of Peter Oliver Patterson Supporting F.D. Thomas, Inc.'s Opposition to DeSilva Gates Construction, LLC's Motion for Determination of Good Faith Settlement ("Patterson Decl."), ¶ 2.) Patterson declares that he attended the destructive testing at the property, during which he observed damage occurring below the grade to the waterproof membrane installed by Thomas. (*Id.* at ¶ 4.) Marks on the membrane were consistent with teeth found on construction equipment used in the backfill process. (*Ibid.*) Patterson states "it is reasonable to determine that the damage was not a result of installation but by other subcontractors using earth moving equipment after the installation of the waterproofing membrane and foam protection board was completed." (*Ibid.*)

Patterson also viewed photos taken during the construction process. (Patterson Decl., ¶ 5.) From this, he "found the waterproofing and protection board was installed in vertical lifts by F.D. Thomas, Inc. and was then backfilled. This was repeated until the waterproofing membrane was designated to have reached the desired elevation, and then backfill was completed by others." (*Ibid.*) The waterproof membrane was installed without damage but the

protection board was damaged after the backfill process. (*Id.* at ¶¶ 5(a)&5(b).) “The backfill is higher than the protection board or the protection board is forced out of place during the backfill process. Fills in excess of 8 [inches] of loose material containing debris were installed in conflict with the soils report. The debris, when in contact with the protection board, may result in damage to the waterproof membrane.” (*Id.* at ¶ 5(c).) Patterson concludes, “It is my opinion as a construction industry expert that the waterproofing membrane installed by F.D. Thomas, Inc. was damaged after their installation was completed. Since the damage occurred below grade to the protection board and waterproofing membrane at multiple locations, the grading contractor who performed the backfill process may have some liability and should not be dismissed from this lawsuit.” (*Id.* at ¶ 6.)

The Court notes that Thomas has standing to challenge the motion despite the fact that it has not filed a cross-complaint against DeSilva and DeSilva does not dispute this. (Code Civ. Proc., § 877.6, subd. (a)(1) [“Any party to an action in which it is alleged that two or more parties are joint tortfeasors or co-obligors on a contract debt shall be entitled to a hearing on the issue of the good faith of a settlement entered into by the plaintiff or other claimant and one or more alleged tortfeasors or co-obligors[.]”].) It has been stated that “in moving under section 877.6 for a good faith settlement determination, the moving party must set forth the value of the consideration paid and an evidentiary basis for that valuation, and must demonstrate that the valuation ‘was reached in a sufficiently adversarial manner to justify the presumption that a reasonable valuation was reached.’ [Citations.]” (*Franklin Mint Co. v. Superior Court* (2005) 130 Cal.App.4th 1550, 1558.) “A nonsettling defendant may then challenge the settlement by ‘attempt[ing] to prove that the parties’ assigned value is too low and that a greater reduction in plaintiff’s claims against the remaining defendants is actually warranted.’ [Citation.]” (*Ibid.*)

DeSilva contends that because Plaintiff has determined that no liability exists on its part, the ballpark figure for its liability is zero. It further asserts that the offset value of the settlement is \$49,730.67, the amount it waived in costs. Thomas, on the other hand, provides no estimate of the “ballpark” value of DeSilva’s liability. The First Amended Complaint, which is attached to the declaration of Thomas’s counsel, does not provide any basis for determining an amount of damages that could be assigned to DeSilva. Thomas has the burden of proving

that the settlement amount of \$49,730.67. (*Long Beach Memorial Medical Center v. Superior Court* (2009) 172 Cal.App.4th 865, 873 [“The party asserting lack of good faith bears the burden of proof. ([Code Civ. Proc.,] § 877.6, subd. (d).) That party must show that the settlement is so far ‘ “out of the ballpark” ’ as to be inconsistent with the equitable goals of section 877.6. (*Tech-Bilt, supra*, 38 Cal.3d at pp. 499-500.)”].) Thomas has not done so.

Thomas appears to contend that DeSilva has paid no amount toward its liability, when it should actually be paying its proportionate share. But, in *Armstrong, supra*, 215 Cal.App.3d 951, the prevailing defendant was awarded \$15,000 in litigation costs but agreed not to collect the \$15,000, in exchange for the plaintiff’s agreement not to appeal the judgment. (*Id.* at p. 954.) The *Armstrong* court held that the defendant’s forbearance from seeking an award to which it was entitled was legal consideration for a contract and was equivalent to the plaintiff receiving \$15,000. (*Id.* at p. 958.) It concluded that “a waiver of litigation costs by a settling defendant effects a reduction in the liability of nonsettling defendants in the same manner as though the settlement involved payment of the equivalent amount to plaintiff in cash.” (*Id.* at p. 954; see also *Garcia v. Duro Dyne Corp.* (2007) 156 Cal.App.4th 92, 105-106 [where settling defendants would have prevailed at trial and been entitled to costs as prevailing parties, cost waivers had offset value].)

Here, as in *Armstrong*, DeSilva is a prevailing defendant, in this case because Plaintiff’s case against it has been dismissed. (Code Civ. Proc., § 1032, subd. (a)(4) [“ ‘Prevailing party’ includes . . . a defendant in whose favor a dismissal is entered . . . “].) Thomas makes no argument regarding DeSilva’s entitlement to the costs it claims it waived in the settlement; nor does it dispute the amount of those costs. Because DeSilva would be entitled to costs as a prevailing party and has set forth a prima facie value of the cost amount and Thomas has not contested that amount, the court finds that the value of the settlement is \$49,730.67 and the remaining non-settling defendants are entitled to an offset of liability in that amount.

VII. Conclusion

The motion is GRANTED.

Moving party DeSilva shall prepare the order.

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Calendar Lines 22 – 23

Case Name: *Parihar v. MIPS Holding, Inc.*
Case No.: 24CV448267

This is a putative class action arising from a data security incident. The parties have reached a settlement, and on February 20, 2026, the Court granted Plaintiff’s motion for preliminary approval of the settlement. Before the Court are Plaintiff’s unopposed motion for final approval of the settlement and Plaintiff’s motion for attorney fees, costs, and a service award. Both motions are unopposed, and no class member has objected. As discussed below, the Court GRANTS the motions and sets a compliance hearing for April 14, 2027, at 1:30 p.m. in Department 19.

I. Legal Standard

“In general, questions whether a settlement was fair and reasonable, whether notice to the class was adequate, whether certification of the class was proper, and whether the attorney fee award was proper are matters addressed to the trial court’s broad discretion.” (*Wershba v. Apple Computer, Inc.* (2001) 91 Cal.App.4th 224, 234-235, disapproved of on other grounds by *Hernandez v. Restoration Hardware, Inc.* (2018) 4 Cal.5th 260.) A settlement of an entire class action requires court approval after a hearing, and the court must determine that the settlement is fair, adequate, and reasonable. (Cal. Rules of Court, rule 3.769(a), (g); *Luckey v. Superior Court* (2014) 228 Cal.App.4th 81, 93.) Where, as here, the case settles before certification, certification and settlement approval occur simultaneously, and the court must also determine that the requirements for class certification are satisfied for settlement purposes. (*Ibid.*; Code Civ. Proc., § 382; *Brinker Restaurant Corp. v. Superior Court* (2012) 53 Cal.4th 1004, 1021.)

A presumption of fairness arises where (1) the settlement is reached through arm’s-length bargaining, (2) investigation and discovery are sufficient to allow the court and counsel to act intelligently, (3) counsel is experienced in similar litigation, and (4) the percentage of objectors is small. (*Luckey, supra*, 228 Cal.App.4th at p. 94, fn. 13, citing *Dunk v. Ford Motor Co.* (1996) 48 Cal.App.4th 1794, 1802.) The court also considers the strength of the plaintiff’s case, the risk, expense, complexity and likely duration of further litigation, the risk of